

The Directors of Umeme Limited are pleased to announce the audited financial results of the Company, for the year ended 31 December 2016

Operational Performance

Safety

The Company regrettably recorded a fatality on the network during November 2016. The Company believes that with continued investment, staff engagement and public sensitization, the safety performance will improve. Several safety campaigns were conducted in communities across the country to further educate the public about the dangers of illegal power connections.

Capital Investments

The Company continued to invest in the distribution network with US\$ 318 billion (US\$ 92.8 million) invested over the period focused on network expansion and restoration, new connections and rollout of prepaid metering. The

total network investment since the start of the concession is US\$ 500 million.

The key projects implemented during the year include Moniko substation, upgrading Namanve Industrial Park, new connections, network expansion and reinforcement, upgrade of power transformers and conversion of Government of Uganda accounts to prepaid metering. The newly completed 40MVA substation in Moniko will power industries in the Mbalala and Lugazi areas.

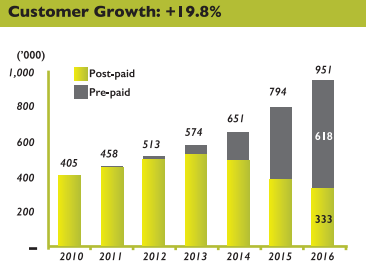
As a result of the investment programme, the Company is pleased to note the positive impact of investments in the

distribution network through improved electricity supply, increased grid connections and reduction in network outages.

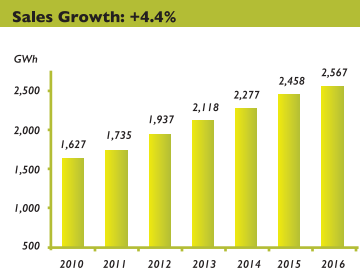
Customers on Pre-paid metering increased to 65.0% of the total customer base as at 31 December 2016 compared to 52.2% as at 31 December 2015. Prepaid revenue as a percentage of total revenue increased to 16.3% during the year compared to 11.6% in 2015.

Revenue collections rate for the period was 98.4% compared to 98.2% in 2015 supported by pre-payment metering and multiple payment platforms for customers. The Company believes that the collection rate is a good performance considering the challenging business environment.

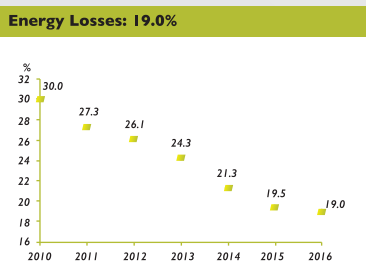
Customer Growth: +19.8%



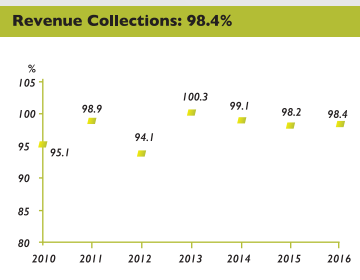
Sales Growth: +4.4%



Energy Losses: 19.0%

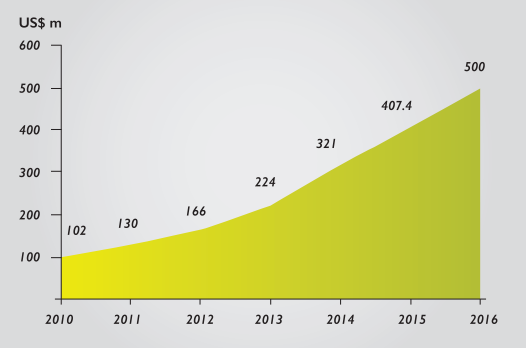


Revenue Collections: 98.4%



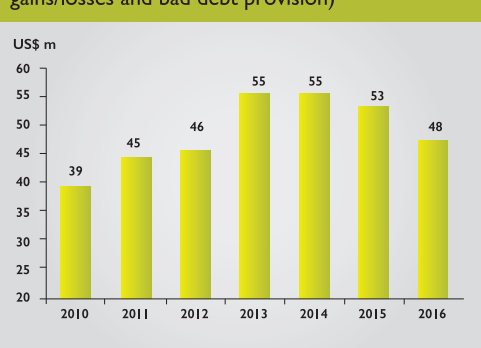
Financial Performance

Cumulative Investment



- Revenue** grew by 13.0% to Ushs 1.3 trillion compared to the same period in 2015 supported by additional network investments and a 4.4% increase in power sales (GWh).
- Gross profit** increased by 3.0% to Ushs 430.4 billion compared with the same period last year as cost of sales increased by 18.7% on the back of a 4.1% increase in electricity purchases

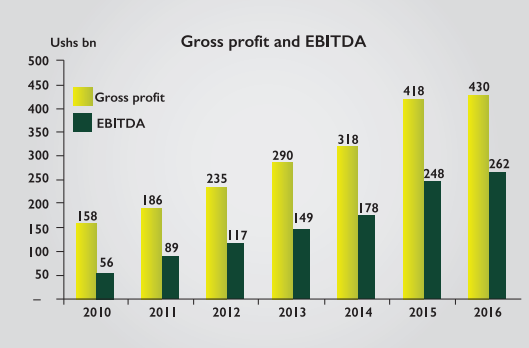
Operating Expenses (ex. Foreign exchange gains/losses and bad debt provision)



- Earnings before Interest Tax Depreciation and Amortization (EBITDA)** in Ushs grew by 5.6% to Ushs 261.5 billion compared to the

Profitability

Gross profit and EBITDA



same period last year. Despite the US Dollar decline in gross profit, the Company managed to preserve EBITDA at US\$76.6 million as operating expenses declined 10.2% year-on-year.

- Financing costs** increased 30.6% to Ushs 69.3 billion owing to increased borrowings from the long term financing facility to meet our capital expenditure needs.

Financing Update

The Company drew down debt totaling of US\$70 million during the year, including an additional US\$45 million term loan to fund the capital investment projects for the period. Interest-bearing debt at 31 December 2016 stood at US\$ 194.3 million compared to US\$141.7 million as at 31 December 2015.

The Company is in advanced discussions with lenders about additional financing for the business.

Regulatory Environment

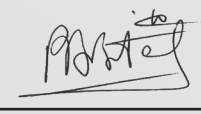
The Company is making progress in implementing the Consent Judgement earlier reached in May 2016 with the Electricity Regulatory Authority (ERA) relating to the resolution of issues arising under License Amendments 2&4 to the Electricity Supply License. In addition, management is in continuous discussions with ERA regarding verification of completed capital expenditures not currently included in the tariff.

Outlook

The Board and Management are focused on acceleration of regulatory approvals for investments and reducing energy losses during the year. The Company is motivated by the growth opportunities presented by the country's industrialization drive and related progress in increasing power generation capacity. The Company continues to engage with Government to align our network investment plans with Government's electricity sector targets while supporting increased access to electricity for businesses and households.

We thank our customers, staff, Government of Uganda, shareholders and other stakeholders for their support of Umeme.

On behalf of the Board



Chairman
31 March 2017

Extract of audited results for the year ended 31 December 2016

The Directors are pleased to present the audited financial results of the Company for the year ended 31 December 2016.

INCOME STATEMENT		
	2016 Ushs million Audited	2015 Ushs million Audited
Revenue	1,312,168	1,161,008
Cost of sales	(881,786)	(742,967)
GROSS PROFIT	430,382	418,041
Other operating income	7,087	9,064
Repair and maintenance expenses	(22,691)	(18,581)
Administration expenses	(151,772)	(155,113)
Foreign exchange losses	(4,786)	(8,424)
Other expenses	(1,933)	(6,758)
OPERATING PROFIT BEFORE AMORTISATION	256,287	238,229
Amortisation of intangible assets	(61,622)	(47,588)
OPERATING PROFIT	194,665	190,641
Finance income	26,720	23,404
Finance costs	(69,301)	(53,063)
PROFIT BEFORE TAX	152,084	160,982
Income tax expense	(52,337)	(55,125)
PROFIT FOR THE YEAR	99,747	105,857
BASIC AND DILUTED EARNINGS PER SHARE	2016 Ushs 61.0	2015 Ushs 65.0
Profit for the year	99,747	105,857
Other comprehensive income		
Foreign exchange translation differences	45,995	133,410
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	145,742	239,267

STATEMENT OF CASHFLOWS		
	2016 Ushs million Audited	2015 Ushs million Audited
Net cash flows from operating activities	170,670	176,576
Investing activities		
Purchase of intangible assets	(317,797)	(280,528)
Net cash flows used in investing activities	(317,797)	(280,528)
Financing activities		
Repayment of borrowings	(62,387)	-
Net proceeds from borrowings	245,790	151,965
Dividends paid	(57,465)	(49,204)
Net cash flows from financing activities	125,938	102,761
Net decrease in cash and cash equivalents	(21,189)	(1,191)
Cash and cash equivalents at 1 January	(3,766)	(2,575)
Cash and cash equivalents at 31 December	(24,955)	(3,766)

Dividends

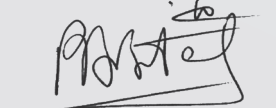
The directors recommend that a final dividend of Ushs 7.8 per share be paid for the year ended 31 December 2016 (2015: Ushs 24.4). An interim dividend of Ushs 11.0 per share was approved by the directors and paid at the end of December 2016 (2015: Ushs 10.8). The total dividend for the year will be Ushs 18.8 per share. If approved at the Annual General Meeting, the final dividend subject to deduction of withholding tax, where applicable, will be paid on or about 5 July 2017 to shareholders in the books of the Company at close of business on 20 June 2017. The Annual General Meeting will be held on 11 May 2017. The dividend will be paid into the shareholder bank accounts or mobile money accounts whose details are maintained by the Securities Central Depository (SCD).

The Company has opted to reduce the dividend payout during the year in view of the anticipated capital requirements for the business.

Message from the Directors

The above financial statements are extracts from the Company's financial statements which were audited by KPMG, who issued an unqualified audit opinion. A copy of the full financial statements can be accessed on our website, www.umeme.co.ug.

The financial statements were approved by the Board of Directors on 31 March 2017, and were signed on its behalf by:


Chairman


Managing Director

For customer service inquiries call **0800 285285** (Toll free), **0312 185185** or email callcentre@umeme.co.ug website: www.umeme.co.ug

find us on  Umemelimited  @UmemeLtd  0772 285285

STATEMENT OF FINANCIAL POSITION		
	2016 Ushs million Audited	2015 Ushs million Audited
ASSETS		
Non-current assets		
Intangible assets	1,317,309	1,044,595
Other financial Asset	70,018	-
Concession financial asset	363,025	313,960
	1,750,352	1,358,555
Current assets		
Inventories	55,521	43,398
Amount recoverable from customer capital contributions	6,982	6,634
Trade and other receivables	342,959	337,768
Tax recoverable	11,841	-
Bank balances	24,204	28,514
	441,507	416,314
TOTAL ASSETS	2,191,859	1,774,869
EQUITY AND LIABILITIES		
Equity		
Issued capital	27,748	27,748
Share premium	70,292	70,292
Retained earnings	314,607	272,325
Reserves	179,405	133,410
	592,052	503,775
Non-current liabilities		
Borrowings: Non-current portion	578,416	477,160
Concession obligation	363,025	313,960
Deferred income tax liability	111,285	69,448
Long term incentive plan: Non-current portion	2,867	-
	1,055,593	860,568
Current liabilities		
Borrowings: Current portion	124,021	1,237
Customer security deposits	130	998
Deferred income	7,005	12,437
Long term incentive plan: Current portion	-	14,490
Trade and other payables	364,029	344,832
Current income tax payable	-	5,250
Bank overdraft	49,029	31,282
	544,214	410,526
TOTAL EQUITY AND LIABILITIES	2,191,859	1,774,869

STATEMENT OF CHANGES IN EQUITY					
	Issued capital Ushs million	Share premium Ushs million	Translation Reserve Ushs million	Retained earnings Ushs million	Total Equity Ushs million
At 1 January 2015	27,748	70,292	-	215,672	313,712
Profit for the year	-	-	-	105,857	105,857
Other comprehensive income, net of tax	-	-	133,410	-	133,410
Total comprehensive income, net of tax	-	-	133,410	105,857	239,267
Dividend paid	-	-	-	(49,204)	(49,204)
At 31 December 2015	27,748	70,292	133,410	272,325	503,775
At 1 January 2016	27,748	70,292	133,410	272,325	503,775
Profit for the year	-	-	-	99,747	99,747
Other comprehensive income, net of tax	-	-	45,995	-	45,995
Total comprehensive income, net of tax	-	-	45,995	99,747	145,742
Dividend paid	-	-	-	(57,465)	(57,465)
At 31 December 2016	27,748	70,292	179,405	314,607	592,052

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UGX BILLION
INVESTED IN NETWORK EXPANSION
& restoration, new connections and rollout of pre-paid metering

157,270
TOTAL NEW CUSTOMERS
19.8% Increase from December 2015
driven by grid extensions.
950,814 Total Customers

65.0%
CUSTOMERS ON PRE-PAID METERING (VAKA)
Compared to 52.2% in 2015.
Prepaid revenue at **16.3%** of Total revenue (2015:11.6%)

98.4%
REVENUE COLLECTIONS
Compared to 98.2% achieved in 2015.

7.8 /- PER SHARE
FINAL DIVIDEND
Payment date: 5 July 2017
Books closure date: 20 June 2017